

HEADLINE JUDGMENT

Score HOLDS at 27/30 for a fifteenth consecutive edition. No channel moved. The day's finding is that the United States declared the Strait mine-free and then, inside forty-eight hours, bombed the launchers it says were preparing to fire the next mines into it — while the American bond market spent the same window repricing the Federal Reserve, not the Gulf. One. The mine claim was answered on the record, and then overtaken by its own author's next action. On 28 August CENTCOM commander Adm. Brad Cooper said on the command's own channel: 'We have successfully cleared sea mines in the strait's international shipping lanes that were laid months ago by Iran's Islamic Revolutionary Guard Corps. Internationally recognized transit routes in the strait are free of Iranian sea mines.' That is the US military text this document has asked for since 25 August, and it closes what JMJC Update 090 only narrowed. (!) Then on 30 August US forces struck TWO IRGC rocket launchers on LARAK ISLAND, and CENTCOM's own stated justification — Navy Capt. Tim Hawkins, on the record — is that IRGC forces 'were observed preparing to launch rockets with sea mines into the Strait of Hormuz'. A clearance claim and a re-mining interdiction cannot both describe a settled waterway. The correct reading is NOT that Cooper was wrong on 28 August but that the mine problem is a FLOW, not a STOCK: the lanes can be cleared and re-seeded, and the US has now said both things itself, 48 hours apart, on the record. Two. The kinetic pause is over, and this document's kinetic clock has been reset. The Larak strike is the FIRST acknowledged US strike inside Iran since 29 July — a 32-day pause, the longest of the war — and Iranian state media reported casualties among fighters and civilians — TIER 3 and uncorroborated — and promised 'response and punishment'. On 31 August the IRGC CLAIMED, via Fars, a combined missile and drone strike on the King Hussein and Al-Azraq air bases in JORDAN, asserting 'heavy damage'. (!) That claim is Tier 3 and UNCORROBORATED: no US, Pentagon, CENTCOM or Jordanian confirmation, interception count, damage assessment or casualty figure was obtainable, and search results for it are heavily contaminated by the SEPARATE Jordan attack of 28–29 JULY, which must not be reused (A7). Three, and it is the market half, and it is not about the Gulf at all. Chairman Kevin Warsh delivered his first Jackson Hole keynote — 'In Our Time', 10:00 ET Friday 28 August, his hundredth day in office — and the front end of the US curve moved more on it than on anything Iran has done in a month. The 2-year rose 11.14 bp to 4.3434%, the SECOND-LARGEST one-day rise of the war behind 13.27 bp on 17 June; the 5-year rose 7.93 bp to 4.4789%, a NEW WAR-HIGH CLOSE; and 2s10s flattened 6.965 bp to 37.049, the SECOND-LARGEST one-day flattening of the war, again behind 17 June. (!) And nominal yields rose while BOTH published measures of inflation compensation FELL: 10-year breakevens -1.56 bp and the 5y5y forward -2.18 bp on the same session. (!) No 2-year breakeven is published here, so the front-end move is NOT decomposed; what CAN be said is that at the tenors where compensation IS measured the curve priced less inflation and more real yield. It priced a central bank that intends to stop it. Warsh, verbatim: 'We must be confident that underlying inflation is moving to our objective, clearly and at sufficient speed. Otherwise, we have work to do'; and on the summer's softer prints, 'they do not tell me that underlying trends have meaningfully improved'; and 'I would be hard pressed to describe broad financial conditions as restrictive'. Four. The data cut the OTHER way on the same day and lost by 11 basis points. The Chicago Business Barometer collapsed to 47.1 from 57.6, its first contraction in four months and the lowest since December; final August UMich sentiment was 51.7, down about 6% on the month; and one-year household inflation expectations FELL to 4.0% from 4.2%. A weak-growth, lower-expectations print set produced an 11 bp front-end selloff. That does not PROVE causation, but it removes the obvious alternative: on any conventional reaction function that data set produces a front-end RALLY. It is as clean an attribution as a single session permits. Five, and it re-armed a Stage-4 threshold by half a basis point. Threshold B RE-ARMED on the 28 August close — the SIXTH arming — after a THREE-close lapse. The 10-year cleared 4.65% by 6.80 bp; the 30-year cleared 5.20% by 0.56 bp, the SECOND-NARROWEST arming margin of the SIX arming margins of the regime, behind only the 0.07 bp of 29 July that opened it. (!) It is already gone again on the 31 August intraday, at 5.1983%, short by 0.17 bp — but that is a snapshot and moves nothing (A9a). Six. UKMTO published the traffic document, and its own two counts differ by an order of magnitude. VRA Overview No. 4 (produced 28 August, seven days to 27 August) puts FULL TRANSITS at 101 outbound and 103 inbound — 22% and 23% of UKMTO's own pre-conflict average — on an AIS-plus-dark-derived basis. The SAME DOCUMENT states that AIS-detected transits are 'approximately 90% below pre-conflict baselines'. (!) Those are two universes inside one publication; they are NOT averaged and NOT reconciled here, and the gap between them is most readily explained by the dark fleet — which would put MORE THAN HALF of Strait throughput outside the transponder record. But the AIS-plus-dark figure is the highest measure of Strait throughput this document has ever carried, and on that basis alone the maritime downgrade's TRAFFIC leg — above 25% of normal — has never had a published reading this close: 22% and 23% against a 25% level. (!) That is a SEVEN-DAY AGGREGATE and the condition requires TEN SESSIONS above 25%, so an aggregate cannot satisfy it however high it goes; the leg is nearer, not near. Its other leg, a verified reopening, is not met and moved further away on 30 August. Seven. Bessent's threatened action against a foreign financial institution LANDED — as a PROPOSED rule, and against a bank nobody was watching. On 28 August FinCEN issued a Section 311 NOTICE OF PROPOSED RULEMAKING finding BANQUE MISR UAE — the UAE branches of an EGYPTIAN state bank — to be of primary money-laundering concern, alleging ~\$1.8bn processed for 103 companies between January 2024 and June 2026. (!) It is an NPRM with a 30-day comment window, NOT a completed revocation of correspondent access, and NO Chinese bank has been designated. Bloomberg and Fortune characterise that as a deliberate carve-out ahead of the Xi visit scheduled for next month; this document records only the ABSENCE, which is what it can source. Sequencing 27 → 27 → 27. Five of six channels remain at the cap and the score cannot register either the first US strike inside Iran in a month or the second-largest front-end repricing of the war. Only oil, at 2, has headroom, and it moved AWAY from its upgrade on the close before a contract roll made the two published bases disagree by \$2.17 (\$9.36, A1.1).

1 · LIVE TAPE

Scoring reference is the 28 August close (Fri); the 31 August row is a Singapore-MORNING mark taken BEFORE the US cash session and moves no channel (A9a). The row-level and field-level integrity checks CLEAR. The BASIS check FIRES TWICE: a Brent contract roll on 31 August, and a vendor RESTATEMENT of the entire Brent active-contract column across 3–28 August — A1.1. The 31 August US session had not begun at the cut: the 31 August PRICES below are Asian-hours marks, and US PUBLICATIONS dated 31 August are PROSPECTIVE, not unobtained (\$9.46). Full commentary is in ANNEX A1.

1.1 · Energy

Series	26 Aug	27 Aug	28 Aug close	31 Aug intr.	Trigger note
Brent CO2 (scored)	86.94	88.52	88.10	87.78	\$6.90 from the \$95 upgrade, WIDENED from \$6.48. The 27 Aug reversal did not hold; \$15.62 above the \$72.48 downgrade level
Brent COA (active)	86.94 (R)	88.52 (R)	88.10 (R)	89.95	(!) TWO faults at once. (R) = the WHOLE COA column now reads IDENTICAL to CO2 across 3–28 Aug; the 93.78, 87.84, 89.70 and 89.18 this document published for 20, 26, 27 and 28 Aug are NOT reproducible from the current extract and are WITHDRAWN . And on 31 Aug the two diverge by \$2.17 on a ROLL. \$5.05 from \$95 on the active — but it is a DIFFERENT CONTRACT (\$9.36)
WTI CL2 / CLA	80.85 / 82.23	81.97 / 83.53	81.83 / 83.40	83.32 / 85.00	Basis 1.38, 1.56, 1.57, 1.68 across the four sessions — no sign change and no step. WTI is clean; Brent is not
Henry Hub NGA	2.874	2.914	2.888	2.856	5.71% BELOW its \$3.063 pre-war anchor. The producer's domestic benchmark is the control in this experiment and it is still negative
TTF TZTA	65.777	68.268	66.979	68.990	+114.5% vs pre-war on the close. (!) The 31 Aug INTRADAY of 68.990 is above the €68.457 war-record CLOSE of 24 Aug — it is NOT a record close and is NOT treated as one (\$9.31). EU storage is ~63% full, the lowest seasonal level since 2009
Asia LNG JGLA	3,623	3,687	3,785	no print	+126.8% vs pre-war; the SECOND -highest close of the war, behind the 3,793 of 25 Aug. No 31 Aug print

The structural triangle is unchanged and it is what identifies this as a routing shock rather than a global energy shock: the two import benchmarks sit at or beside war records while the largest producer's domestic benchmark closed 5.71% **BELOW** where the war started. **(!)** The oil-channel distance is quoted on CO2 because the rule is written against CO2 (\$9.36b). From 31 August the active contract is a different delivery month and the two bases will not be comparable; the \$5.05 figure is published for completeness and is **NOT** the scored distance. A1.1.

1.2 · US Treasuries and inflation expectations

Basis points. A hawkish **BEAR FLATTENER** driven by the front end and by a speech: the 2-year rose 11.14 bp and the 30-year 1.25, while **BOTH** published measures of inflation compensation **FELL**. The move is not decomposed at the 2-year, where no breakeven is published (A1.2).

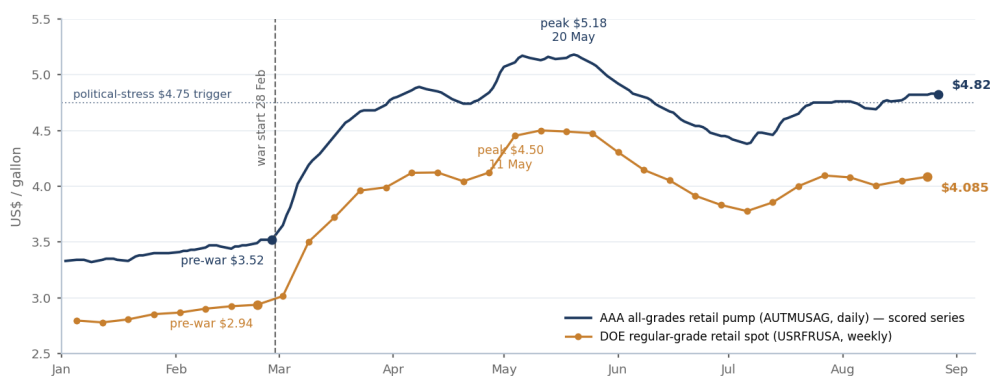
Tenor	26 Aug	27 Aug	28 Aug close	31 Aug intr.	d/d 28v27, bp	Trigger note
2-year	4.2093	4.2320	4.3434	4.3227	+11.14	The SECOND-LARGEST one-day rise of the war, behind 13.27 bp on 17 June. Highest close since 23 July and only 0.36 bp below the 4.3470 war high. No trigger is written on the 2-year; it is the transmission
5-year	4.3619	4.3996	4.4789	4.4648	+7.93	A NEW WAR-HIGH CLOSE , passing the 4.4521 of 23 July. No trigger is written on the 5-year either — which is why a war high can be set without moving a single channel
10-year	4.6465	4.6762	4.7180	4.7081	+4.18	SATISFIES Threshold B's 4.65% leg by 6.80 bp, its widest clearance since 21 August. Still satisfied on the 31 Aug intraday, by 5.81
30-year	5.1671	5.1931	5.2056	5.1983	+1.25	CLEARs B's 5.20% by 0.56 bp — the SECOND-NARROWEST arming margin of the run, behind 0.07 bp on 29 July — so B RE-ARMS . The Treasury DOWNGRADE leg fails by 20.56 bp, WIDENED from 19.31. On the 31 Aug intraday B is short by 0.17 bp
2s10s (USYC2Y10)	43.308	44.014	37.049	38.118	-6.965	The SECOND-LARGEST one-day flattening of the war, behind -8.323 bp on 17 June; the flattest close since 28 July and 18.59 bp flatter than the 55.64 pre-war anchor. (!) USYC2Y10 is a SEPARATE Bloomberg series, not the arithmetic difference of the printed generics
10y BE / 5y5y fwd	2.3260 / 2.3032	2.3335 / 2.3182	2.3179 / 2.2964	2.3248 / 2.3003	-1.56 / -2.18	(!) 5y5y closed 0.36 bp BELOW the 2.30% level whose sustained break fired US-inflation 4→5 on 31 July — the THIRD such close of the regime, after 13 and 25 August, and both of those were retraced inside one session. It is 15.44 bp above the 2.142% downgrade anchor, NARROWED from 17.62. BE10 6.10 bp above its 2.2569 anchor, from 7.66. \$9.26 governs: report it, do not move the rule

1.3 · Cross-asset

Series	27 Aug	28 Aug close	vs pre-war	Note
MOVE	69.86	70.97	-2.41 vs 73.38	A NINTH consecutive close below 75 (18–28 Aug) — but it ROSE 1.11, so the volatility leg is satisfied by 4.03 points instead of 5.14. The unbroken RUN dates from 18 Aug because a single close of 75.63 on 17 Aug broke the earlier phase begun 12 Aug. Across that whole sub-75 population, 70.97 is the FIFTH-lowest, behind 69.23 (13 Aug), 69.44 (26 Aug), 69.58 (14 Aug) and 69.86 (27 Aug). War low 65.39 (18 Jun)
VIX / DXY / SOFR	14.51 / 99.159 / no print	14.43 / 99.702 / no print	-5.43 / +2.09 / —	VIX is the SECOND-LOWEST close of the war, behind the 14.25 of 14 August — an equity market pricing no event risk into a session that repriced the Fed and a weekend that reopened the air war. DXY +0.543 to its highest close since 13 August, the dollar leg of the same hawkish repricing. SOFR DARK for a SECOND session; its 31 Aug value is PROSPECTIVE
Gasoline AAA all-grades (AUTMUSAG) — scored	4.82	no print	+1.30 vs 3.52	The 27 August print of \$4.82 is the LAST RESOLVED value and the vs-pre-war column is computed from it; the series is DARK on 28 August and DARK again on 31 August. It sits 22 cents above the \$4.60 downgrade condition and 7 cents above the \$4.75 that fired the upgrade. \$9.30 reads NO trend through dark sessions in either direction
Gasoline DOE regular (USRFRUSA)	no print	no print	+1.15 vs ~2.94	Weekly, surveyed Monday. Last print \$4.085 (24 Aug); the EIA retail release of 1 Sep is PROSPECTIVE

DENOMINATOR DISCIPLINE (\$9.19) — THREE distinct retail series, never compared. AUTMUSAG (AAA all-grades) is the scored one, last RESOLVED at \$4.82. USRFRUSA (DOE regular, weekly) is corroboration at \$4.085. AAA's own published regular headline is a third, read directly on 31 August with the page stamped 'price as of 8/30/26': regular \$4.0787, diesel \$5.6035. Both AAA series are FALLING week-on-week — regular -1.99c, diesel -0.39c — and diesel's run of WAR highs stays broken, 21.24 cents below the ALL-TIME record of \$5.8159 set on 19 June 2022, four years before this war. (!) But only REGULAR is below BOTH its week-ago and its month-ago level: diesel is still +26.4 cents on the MONTH against regular's -1.94c and +\$1.90 year on year against +88.7c. That distillate divergence is the live signal and it is a freight and industrial signal, not a household one. A1.5.

1.4 · US retail gasoline — the two charted series (of three; see A1.5)



AAA all-grades (AUTMUSAG, navy, scored) and DOE regular retail (USRFRUSA, amber, weekly, corroboration only); the dotted line marks the \$4.75 upgrade trigger, NOT the \$4.60 downgrade condition. The scored series has printed at or above \$4.75 on every session since 12 August. Its last three cells — 28 and 31 August, and the prospective 1 September — are dark or unpublished, so the plotted line ENDS on 27 August at \$4.82 and no extrapolation is drawn through the gap.

1.5 · Strait operational — summary

Strand	State on 31 August	Source
UKMTO / incidents	VRA OVERVIEW No. 4 LANDED — produced 28 Aug and headed 'week ending 28 Aug' but with a stated reporting range ending 27 Aug, so every seven-day figure in it is read here as the seven days to 27 Aug — and it is the fullest traffic document of the war. 36 total incidents during SoH transit since 28 Feb; 23 UKMTO-reported projectile-strike incidents since 6 Jul; and, on a SEPARATELY stated population of EIGHTEEN, SIXTEEN occurred on the SOUTHERN OMANI route, which the document names the highest-risk corridor. (!) The report publishes 23 and 18 without reconciling them, and neither is derived from the other here. Engine rooms are the primary damage location, 14 incidents. JMIC threat assessment inside it: Hormuz SEVERE; Gulf of Oman, Gulf of Aden and Bab el-Mandeb SUBSTANTIAL — 'no change'. IMO traffic separation arrangements REMAIN SUSPENDED 'with no indication of an imminent return to normal routing procedures'. NEW INCIDENT: UKMTO Warning 122-26 — a crude tanker struck by an unknown projectile at 2035 UTC on 29 Aug, inbound, about 12 nm NORTH of Khasab; issued 30 Aug; vessel, flag and attribution NOT stated. (!) Obtained via Tier 2 relay (Gulf News) only — the UKMTO product listings are JavaScript-rendered and returned NO data to direct fetch, so absence of a JMIC Update 091 is NOT evidence it does not exist (A7)	UKMTO VRA Overview No. 4, read in full by direct file URL, 31 Aug; UKMTO Warning 122-26 via Gulf News 30 Aug
Transits + blockade	(!) THE TWO HEADLINE COUNTS ARE IN THE SAME UKMTO DOCUMENT AND DIFFER BY AN ORDER OF MAGNITUDE, AND BOTH ARE PUBLISHED (\$9.24). AIS-PLUS-DARK DERIVED: 101 full transits outbound and 103 inbound over seven days, stated as 22% and 23% of UKMTO's OWN pre-conflict average. AIS-DERIVED ONLY, on its own page of the same report: transits 'approximately 90% below pre-conflict baselines'. Route split, AIS only, seven days: outbound 20 Northern PGSA / 10 Southern Oman TTW / ZERO through the TSS; inbound 17 / 12 / ZERO. FOUR OTHER PROVIDERS, four other universes: Lloyd's List Intelligence 114 transits 17–23 Aug, up more than 30% on the prior week, with at least 42 westbound against 29 westbound IN THE PRIOR WEEK — a week-on-week comparison, NOT a directional split of the 114; Kpler via Reuters SEVEN commodity vessels on 27 Aug, down from 17, against its own 10-day average of ~15; Al Jazeera about five vessels a day 15 Jul–23 Aug, 'almost 95 percent' below on its OWN ~100/day baseline; CENTCOM 82 vessels redirected / 3 disabled / 2 boarded as of 28 Aug, from 71 on 24 Aug. Windward TRANSIT COUNTS for this window, and IMF PortWatch, TankerMap and LSEG entirely: NOT OBTAINED. A trade figure of '83 redirected' could not be dated or sourced and is REJECTED	UKMTO VRA Overview No. 4; Lloyd's List Intelligence via USNI News 28 Aug; Reuters (Kpler) 28 Aug; Al Jazeera 27 Aug; CENTCOM via Middle East Eye 28 Aug
CENTCOM / kinetic	THE PAUSE BROKE. US forces struck TWO IRGC rocket launchers on LARAK ISLAND on 30 August — the FIRST acknowledged US strike inside Iran since 29 July, a 32-DAY pause. CENTCOM spokesman Capt. Tim Hawkins, on the record: IRGC forces 'were observed preparing to launch rockets with sea mines into the Strait of Hormuz'; the action was 'limited, precise'. Iranian state media reported killed and wounded and promised 'response and punishment'. On 31 August the IRGC CLAIMED, via Fars, a missile and drone strike on the King Hussein and Al-Azraq bases in JORDAN with 'heavy damage' — TIER 3, UNCORROBORATED, no US or Jordanian confirmation of any kind obtained. (!) A CHANNEL FINDING ABOUT THE SOURCE ITSELF: centcom.mil has published NOTHING on either event. Its last release of ANY kind is 15 August and its last combat release inside Iran is still 29 July — a 33-day formal-channel gap — while the mine declaration and the Larak confirmation both went out via the @CENTCOM X account and spokesman statements to media. NAVCENT's own news page has been silent for 57 days. The formal record and the operational record have separated	CENTCOM via Newsweek, Bloomberg, CNBC, CNN and The National 30 Aug; Fars via Haaretz 31 Aug; centcom.mil and cusnc.navy.mil release indices read direct 31 Aug
Diplomacy	NOTHING MOVED, AND THE NEGATIVES ARE THE FINDING. NO route coordinates, NO fee schedule and NO revenue-share text has been published by EITHER government. Oman's MFA was read directly on 31 August: its Statements page carries nothing on 28, 30 or 31 August and a single unrelated item on 29 August (Algeria wildfires); the last Iran-related text remains the 25 August joint STATEMENT, which names no geometry, no fee and no revenue share. Oman has NEVER corroborated the IRGC revenue-sharing claim and has never denied it either — it did not respond to press requests. NO Iranian corridor statement dated 28–31 Aug was obtainable; the Gharibabadi, IRGC and army descriptions are all 23–26 Aug. NO readout of the Qatari PM's 27 August Tehran visit. NO US statement on negotiations 28–31 Aug: Leavitt's 'No negotiations are happening right now' of 27 August still stands unretracted, and NO sourced US reaction to the 31 August Jordan claim was found	fm.gov.om Statements, News and Speeches pages read direct 31 Aug; ofac.treasury.gov read direct; searches recorded in A7
Economic war	ONE OFAC action in the window, 28 August: Reza Mohammad Taeedi, general manager of Bank Melli's Dubai branch, designated [SDGT][IFSR] under E.O. 13224, and KAMENG TRADING LIMITED of Hong Kong designated [IRAN-EO13902] for laundering through the Opal Exchange. NOTHING on 29, 30 or 31 August. Separately and larger: Treasury release SB0617, 28 August — FinCEN's Section 311 NPRM against BANQUE MISR UAE, alleging ~\$1.8bn processed for 103 companies Jan 2024–Jun 2026 including fronts for Iran's Ministry of Defense and the IRGC. (!) An NPRM with a 30-day comment window is a PROPOSED prohibition, not a completed one. NO Chinese bank has been designated. The UAE Central Bank ordered an urgent probe into Banque Misr's branches on 30 August — a direct regulatory response inside the window. The UAE's own indefinite trade and financial embargo on Iran, announced 18 August, is now THIRTEEN DAYS old with STILL no published decree, cabinet resolution or gazette text of any kind	ofac.treasury.gov/recent-action s/20260828 read direct; home.treasury.gov press release SB0617; FinCEN NPRM PDF; The National 30 Aug

2 · US ECONOMIC SHOCK — ANALYSIS WITH BOND YIELDS

2.1 · Bond-yield transmission, channel by channel

MARITIME DENIAL — 5/5, held. The traffic leg of the downgrade is nearer than at any point in the war, on one of two counts published in the same document.

(i) **The state.** The downgrade requires a verified reopening AND traffic above 25% of normal for ten sessions. UKMTO's VRA Overview No. 4, produced 28 August, puts full transits at 101 outbound and 103 inbound over the seven days to 27 August, and states those as 22% and 23% of its own pre-conflict average. No published reading has come this close to the 25% level. (!) But it is a SEVEN-DAY AGGREGATE and the condition requires TEN SESSIONS above 25%: an aggregate cannot satisfy a persistence test however high it goes. The leg is nearer, not near. On a different provider and an earlier window, Lloyd's List Intelligence separately records 114 transits for 17–23 August, up more than 30% week on week — a DIFFERENT universe and a DIFFERENT week, pointing the same way but not corroborating the same number. (ii) **Why the channel nevertheless does not move, and it is not a judgment call.** The condition is CONJUNCTIVE and its first limb — a verified reopening — is not merely unmet but moved further away inside the window: a tanker was struck 12 nm north of Khasab on 29 August, the United States bombed launchers said to be loading fresh mines on 30 August, the IMO traffic separation arrangements remain SUSPENDED by UKMTO's own text, and ZERO of the 59 route-identified transits in the report used the TSS. A waterway on which the internationally recognised routing scheme carries no traffic at all is not reopened, whatever the count. (iii) **The measurement problem is now unavoidable and belongs in the open.** The SAME UKMTO document says AIS-detected transits are 'approximately 90% below pre-conflict baselines' — about 10% of normal against the 22–23% on the AIS-plus-dark basis. Both are UKMTO's and the difference is most readily explained by the dark fleet, which would put MORE THAN HALF of what moves through the Strait outside the transponder record. Al Jazeera's ~5 vessels a day against a ~100/day baseline and Kpler's 7 visible commodity vessels on 27 August are consistent with the AIS-only view and irreconcilable with the other. (!) **The monitor does not average them, does not pick one, and does not treat the 22% as an improvement in safety:** Lloyd's List's own editor-in-chief said on 27 August that 'the industry is still operating under crisis conditions rather than anything approaching a return to normality' and that the market 'has found a way to keep cargo flowing but has done so by concentrating that risk'. More barrels moving through a corridor where 16 of 18 recent strikes hit one route is more exposure, not less.

OIL PRICE SHOCK — 2/5, held. The only channel with headroom moved away from its upgrade, and then its two published bases stopped agreeing.

(i) **The scored distance.** Brent CO2 closed \$88.10 on 28 August, −\$0.42, leaving the \$95 upgrade \$6.90 away — **WIDENED** from \$6.48. The edition-over-edition sequence is now 9.78, 8.43, 5.55, 5.21, 3.03, 7.73, 8.06, 6.48, 6.90 — **NINE** readings, five narrowings, three widenings. The downgrade leg is \$15.62 above \$72.48 and moved toward it by 42 cents; both legs remain far. (ii) **The basis broke, twice, and \$9.36 and \$9.41 both bind.** First, the vendor has RESTATED the entire Brent active-contract column: COA now reads identical to CO2 on every session from 3 to 28 August, so the \$93.78, \$87.84, \$89.70 and \$89.18 this document published for 20, 26, 27 and 28 August are not reproducible and are withdrawn (A1.2). Second, on 31 August the two diverged by \$2.17 — CO2 at \$87.78 against COA at \$89.95 — on a contract roll: ICE Brent's October contract ceases trading on the last business day of August, and Bloomberg's 31 August wrap has Brent for NOVEMBER above \$90. (!) **The two numbers are therefore two different delivery months and the \$2.17 is not a market move.** The scored rule is written on CO2 and stays on CO2. The \$5.05 active-contract distance is published because a reader will check it, and it is explicitly NOT the scored figure. (iii) **The direction of causation reversed over the weekend and the intraday cannot score it.** Brent fell 4.93% on the week to 28 August, from \$92.67 on 21 August, on the corridor announcements; then the 30 August Larak strike took the November contract back above \$90, and Bloomberg attributes that move to the strike by name. **A price that falls on an announcement and rises on an interdiction is pricing the WATERWAY, not the barrels — which is the same conclusion Henry Hub at 5.71% below pre-war has been forcing for two months.**

US INFLATION IMPULSE — 5/5, held. The trigger that fired this channel broke for a third time, and the reason is the most adverse fact in the edition for the monitor's own scoring.

(i) **The break.** The 5y5y forward closed 2.2964% on 28 August — 0.36 bp BELOW the 2.30% level whose sustained break fired this channel 4→5 on 31 July. That is the THIRD such close of the regime, after 2.2900% on 13 August and 2.2991% on 25 August, and both prior breaks were retraced inside one session; the 31 August intraday of 2.3003% is consistent with a third retracement but is a snapshot and settles nothing. (ii) **The score holds, and the rule is not moved.** The documented downgrade is a sustained close at or below the 2.142% pre-war anchor, still 15.44 bp lower — though that gap NARROWED from 17.62, the largest single-session narrowing since 13 August. BE10 at 2.3179% is 6.10 bp above its own 2.2569 anchor, from 7.66. \$9.26 governs and it is worth restating: do NOT quietly redefine the downgrade to the firing level. That asymmetry is what stopped five bad calls in a month. (iii) **But read WHY compensation fell, because it inverts the usual reading.** Breakevens normally fall on weaker growth or cheaper oil. Here they fell 1.56 bp and the forward 2.18 bp on the day the front end sold off 11.14 bp — the signature not of disinflation but of a central bank credibly threatening to deliver it. Warsh made the mechanism explicit: 'inflation compensation measures from the swaps market send a strong and similar message... market prices show confidence that we will deliver price stability. And I can assure you... they're right.' (!) **So this channel's trigger is being pushed below its firing level by MONETARY policy while the physical impulse — Asia LNG at +126.8%, TTF at +114.5%, diesel at +\$1.90 year-on-year — is undiminished.** A downgrade earned that way would be recording the Fed's credibility, not the war's retreat, and the edition says so rather than letting a falling number read as an easing shock. Warsh himself flagged the other side: 'The recent rise in overall commodity prices also bears watching.'

TREASURY STRESS — 5/5, held. Both downgrade legs moved away together for a SECOND consecutive session, and Threshold B re-armed by half a basis point.

(i) **The legs.** The downgrade requires a 30-year close below 5.00% WITH MOVE below 75, sustained. MOVE closed 70.97, a NINTH consecutive close below 75 — but it ROSE 1.11, so the volatility leg is satisfied by 4.03 points rather than 5.14. The 30-year closed 5.2056% and the yield leg fails by 20.56 bp, **WIDENED** from 19.31. (ii) **\$9.15 does NOT fire, for the second session running, and the**

reason must be named. The rule describes ROTATION — one leg approaching while the other retreats. Here both legs deteriorated together, which is the **THIRD STATE \$9.15** acquired, first recorded on 21 August; 28 August is its **THIRD** occurrence and its **SECOND** consecutive one, after 27 August. US-inflation **REMAINS** the nearer of the two market downgrade candidates and the gap between them **WIDENED**: 15.44 bp against 20.56, from 17.62 against 19.31. Nothing swapped, and the ordering has not changed since 26 August (\$9 corrections, 28 Aug). (iii) Threshold B re-armed and the margin is the story. B requires a 30-year above 5.20% WITH a 10-year above 4.65%. The 10-year cleared by 6.80 bp; the 30-year cleared by 0.56 bp — the **SECOND-NARROWEST** arming margin of the entire run. (!) The narrowest is 0.07 bp on 29 JULY, the arming that opened the current regime, and the third is 1.35 bp on 30 July; the run was **NOT** re-sorted in draft and the claim was corrected in the QA pass (\$9.32, \$9.40). This is the **SIXTH** arming, after a **THREE**-close lapse (25–27 August); with five lapses that makes **ELEVEN** states and **TEN** changes since 29 July. It is **NOT** a one-session round trip. (!) And the composition matters more than the level: this arming was delivered by a 1.25 bp move in the 30-year while the 2-year moved 11.14. B is a **LONG-END** stress test and it was re-armed by a **FRONT-END** event that barely touched the long end. A threshold that arms on a bear flattener is not measuring what it was written to measure, and this is the second time in six weeks the monitor has had to say that about a Stage-4 test (\$9.33, \$9.36d). It is recorded, not resolved. Threshold C: **MOVE 70.97** is 59.03 below 130 and 44.05 below the 115.02 war high. The **MOVE/30-year** divergence **WIDENED** again to a combined 61.91 from 61.77 — but **NOT** symmetrically: the 30-year half **GREW** from 58.25 to 59.50 bp above its anchor while the volatility half **SHRANK** from 3.52 to 2.41 below its own. The total widened; both halves did not.

POLITICAL STRESS — 5/5, held. The scored series is dark, and the two corroborating series have parted company.

(i) The state is **UNRESOLVED**, not unchanged. AUTMUSAG did not print on 28 or 31 August. The last resolved value is **\$4.82** (27 August), 22 cents above the named \$4.60 downgrade condition and 7 cents above the \$4.75 that fired the upgrade. **\$9.30 binds: no trend** is read through dark sessions in either direction, and the 11–14 August episode — a six-session decline that reversed completely on two upward backfills — is why. (ii) The corroborating evidence points down and is now unambiguous. AAA's own page, read on 31 August and stamped 'price as of 8/30/26', has regular at **\$4.0787** and diesel at **\$5.6035**, with **REGULAR** below both its week-ago and its month-ago level for the first time in the window, and the diesel war-high run stays broken 21.24 cents short of the June 2022 record. The EIA weekly, surveyed 24 August, still shows diesel +19.8 cents on the week — a **lagging Monday survey** that the 1 September print should roll over. (iii) The divergence is the signal. Diesel is +26.4 cents on the month against regular's -1.94c and +\$1.90 year on year against +88.7c. Households are getting relief the freight and industrial economy is not, which is the transmission path that shows up in core goods with a lag and not at the pump — and it is why this channel would be the wrong one to downgrade first even if the scored series printed at \$4.60 tomorrow.

ESCALATION RISK — 5/5, held. The war restarted and the score could not move a point.

(i) What happened. The downgrade requires a mediated stand-down and resumed talks. Instead: the United States struck IRGC launchers on Larak Island on 30 August, ending a 32-day pause in acknowledged US strikes inside Iran, the longest of the war; a tanker was struck inside the Strait on 29 August; and the IRGC claimed a missile and drone attack on two air bases in Jordan on 31 August. (ii) The scale is saturated and this is the reference case for \$9.7. Escalation has been at 5/5 since 9 July. The first American strike inside Iran in a month, the first Iranian claim of a strike on a third country's territory since 18 August, and the collapse of the mine narrative between two US statements 48 hours apart together move the total by **ZERO** points. A flat 27 this week does not mean a stable week; it means the instrument is at its stop. (iii) Two disciplines applied against the temptation to over-read. The Jordan claim is Tier 3, uncorroborated, and search results for it are contaminated by the separate Jordan attack of 28–29 July, which is a different event and is not reused (\$9.13). And the direction is not one-way: the same window produced UKMTO's highest published throughput of the war and CENTCOM's clearance declaration. An honest reading is that the diplomatic and physical tracks have **DECOUPLED** — traffic is recovering on a corridor that is being fought over — not that the war simply worsened.

2.2 · Stage-4 thresholds

	Test	State on the 28 August close, with events to 31 August
A	A failed coupon auction: a clearing yield with a tail above the 1pm when-issued level	NOT ARMED — UNTESTABLE AS WRITTEN (\$9.39). NO coupon auction settled in the 28–31 August window, so nothing was added to the five-auction record. The run of primary-dealer takedowns on competitive-accepted is UNCHANGED in content at 12.34, 2.09, 10.90, 10.05 and 12.264; its RANKING was re-sorted in the 28 August edition and re-checked here, and 12.264% remains the SECOND-highest , not the highest. Treasury does not publish a when-issued level, so the tail can never come from a primary source and the test cannot discriminate between states; it is reported as untestable rather than as declining to arm. The next quarterly refunding, 4 November, is PROSPECTIVE
B	30-year above 5.20% WITH 10-year above 4.65%	RE-ARMED — the SIXTH arming, ending a THREE-close lapse of 25–27 August. 30-year 5.2056%, clearing by 0.56 bp — the SECOND-NARROWEST arming margin of the run, behind 0.07 bp on 29 July and ahead of 1.35 bp on 30 July. 10-year 4.7180%, clearing by 6.80 bp, its widest since 21 August. Six armings and five lapses make ELEVEN states and TEN changes since 29 July. (!) It re-armed on a bear FLATTENER — the 30-year contributed 1.25 bp of an 11.14 bp front-end move — so a long-end stress test was tripped by a front-end event. Recorded as a defect in the test, not resolved. On the 31 August intraday B is short by 0.17 bp on the 30-year and would, on a close, be a SIXTH lapse; that is a snapshot and scores nothing
C	MOVE above 130	NOT ARMED. 70.97 — 59.03 points below C and 44.05 below the 115.02 war high of 26 March. A ninth consecutive close below 75 and 2.41 below the 73.38 pre-war anchor. (!) The pairing WIDENED for a second session: volatility 2.41 below its anchor while the 30-year sits 59.50 bp ABOVE its own, a combined divergence of 61.91 against 61.77. A fully normalised expectation of movement around a yield that has not normalised at all — and the 28 August session added to the YIELD half while the volatility half shrank

2.3 · Cross-asset macro record — compressed

The 28 August US data flow was **WEAK** and the front end sold off 11.14 bp anyway. The Chicago Business Barometer printed 47.1 against 57.6 — a 10.5-point collapse, the first contraction in four months and the lowest since December. Final August UMich sentiment was 51.7, about -6% on the month, and one-year household inflation expectations **FELL** to 4.0% from 4.2%. The July PCE cluster of 26 August (headline +0.2% m/m and +3.7% y/y, core +3.3%) stands unrevised and is **NOT** a 28 August release. GDPNow for Q3 is 4.6% as of 26 August; the 1 September update is **PROSPECTIVE**. Warsh's dispersion

statistics are the arithmetic behind 'work to do': of 199 PCE components, 54% show 12-month increases above 3% against a pre-pandemic norm of 32%, and headline PCE is 3.7% y/y with the SIX-MONTH change at 4.1% — the run-rate is above the level. Futures-implied odds of a September HIKE moved from about 35% to about 59% (CME FedWatch via CNBC), against 48% on Kalshi and about 69% on Polymarket for any 2026 hike; (!) three instruments on three universes, reported side by side and NEVER averaged. The FOMC meets 15–16 September. Treasury's buyback expansion takes effect 9 September; no buyback and no coupon auction occurred in this window. **No Fed speech, testimony or press release dated 29, 30 or 31 August was obtainable.** The full record, the Warsh primary text and the SPR conflict are at **ANNEX A2.3**.

3 · SHOCK SCORE

27 / 30 — CRISIS band (22–30). Held for a fifteenth consecutive edition. No channel moved.

Channel	Score	Basis on the 28 August close, with events to 31 August	Distance to a change
1 · Maritime denial	5	UKMTO VRA No. 4: 101 out / 103 in over seven days, 22% and 23% of its own pre-conflict average — the highest throughput reading of the war. Against it: TSS still suspended and ZERO TSS transits, a tanker struck 12 nm N of Khasab on 29 Aug, and 16 of 18 recent strikes on one route	At the cap. No published traffic reading has come this close to 25% — but a seven-day aggregate cannot satisfy a ten-session test. The reopening leg is not met and moved further away on 30 Aug
2 · Oil price shock	2	Brent CO2 \$88.10, −\$0.42; −4.93% on the week from \$92.67, on the corridor announcements. The Nov contract then went back above \$90 on the 30 Aug Larak strike	\$6.90 below the \$95 upgrade, WIDENED from \$6.48. \$15.62 above the \$72.48 downgrade. The only channel with headroom
3 · US inflation impulse	5	5y5y 2.2964% — 0.36 bp BELOW the 2.30% that fired the upgrade, a third such close. BE10 2.3179%. Physical impulse undiminished: Asia LNG +126.8%, TTF +114.5%, diesel +\$1.90 y/y	15.44 bp above the 2.142% downgrade anchor, NARROWED from 17.62 — the nearer of the two market candidates
4 · Treasury stress	5	30-year 5.2056% (+1.25 bp), 2-year 4.3434% (+11.14, second-largest of the war), 5-year 4.4789% a NEW WAR HIGH, 2s10s 37.049 (−6.965, second-largest flattening). MOVE 70.97, ninth close below 75	The 30-year leg fails by 20.56 bp, WIDENED from 19.31. Both legs moved away together for a second session
5 · Political stress	5	AUTMUSAG DARK on 28 and 31 Aug; last resolved \$4.82 (27 Aug). AAA regular \$4.0787 (below week-ago AND month-ago) and diesel \$5.6035 (below week-ago, still +26.4c on the month)	22 cents above the \$4.60 condition, UNRESOLVED. No trend read through dark sessions (\$9.30)
6 · Escalation risk	5	US strike on Larak Island 30 Aug — first inside Iran since 29 July, ending a 32-day pause. IRGC claims strikes on two Jordanian air bases 31 Aug (Tier 3, uncorroborated). Leavitt's 'no negotiations' unretracted	At the cap. The downgrade needs a mediated stand-down and resumed talks; neither exists

Read the composition, not the total (\$9.7, \$9.27). Five of six channels are at the ceiling, so the score cannot register the first US strike inside Iran in a month, a new war-high 5-year yield, the second-largest front-end selloff of the war, or the highest Strait throughput reading UKMTO has published. It also cannot register the improvements, and there were some: transits up more than 30% week on week on the Lloyd's count, a CENTCOM clearance declaration, retail fuel falling on both AAA series, and equity volatility at its second-lowest close of the war. A flat 27 is an instrument at its stop, in both directions.

4 · WHAT HAS CHANGED SINCE THE 28 AUGUST EDITION

#	Change	Significance
1	The kinetic pause broke. US forces struck two IRGC rocket launchers on Larak Island on 30 August, the first acknowledged US strike inside Iran since 29 July — a 32-day gap, the longest of the war. CENTCOM's stated reason: the launchers were preparing to fire rockets carrying SEA MINES into the Strait	Escalation is capped at 5 so the score cannot record it. The substantive point is the contradiction: the same command declared the lanes mine-free 48 hours earlier
2	CENTCOM answered the mine question, on the record. Adm. Brad Cooper, 28 August: 'Internationally recognized transit routes in the strait are free of Iranian sea mines.' This is the US military text the last three editions asked for and it closes what JMJC 090 only narrowed	A standing watchlist item RESOLVED IN PART — the US military text now exists, but not the question behind it. Bloomberg reports allies privately assessing 80–150 mines may remain, and the 30 Aug strike is the US's own evidence that re-seeding is live. Read the claim as a FLOW, not a STOCK
3	Warsh's first Jackson Hole keynote reprised the front end. 2-year +11.14 bp (second-largest of the war), 5-year +7.93 to a NEW WAR HIGH, 2s10s −6.965 (second-largest flattening) — while BE10 fell 1.56 and 5y5y fell 2.18. Chicago PMI collapsed to 47.1 and UMICH 1-year expectations FELL to 4.0% the same day	As clean an attribution as a single session permits: the same-day data cut the other way. Nominal yields rose while both published compensation measures fell. CME-implied September HIKE odds went from about 35% to about 59%
4	Threshold B RE-ARMED on the 28 August close — a sixth arming after a three-close lapse — with the 30-year clearing 5.20% by 0.56 bp, the second-narrowest arming margin of the run behind 0.07 bp on 29 July	Eleven states, ten changes since 29 July. (!) It armed on a bear flattener: a long-end test tripped by a front-end event. Recorded as a defect in the test
5	UKMTO published VRA Overview No. 4 and its own two counts differ by an order of magnitude: 101/103 full transits over seven days at 22–23% of the pre-conflict average on an AIS-plus-dark basis, against 'approximately 90% below' on AIS alone. Lloyd's List separately records 114 transits for 17–23 Aug, +30% w/w	The highest throughput readings of the war. No published reading has come this close to the 25% traffic level — though a seven-day aggregate cannot satisfy a ten-session test. The gap between the two counts is most readily explained by the dark fleet
6	Bessent's financial-institution action LANDED, as a PROPOSED rule — against BANQUE MISR UAE, not a Chinese bank. FinCEN Section 311 NPRM, 28 August, alleging ~\$1.8bn processed for 103 companies Jan 2024–Jun 2026. The UAE Central Bank ordered an urgent probe into the branches on 30 August	A three-edition watchlist item RESOLVED IN PART, and in an unexpected direction. (!) An NPRM with a 30-day comment window is a PROPOSED prohibition, not a completed one, so the question of whether correspondent access is actually cut remains open. No Chinese bank designated

#	Change	Significance
7	The Brent active-contract column was RESTATED across 3–28 August and then the contract ROLLED on 31 August. COA now reads identical to CO2 for the whole window, so FOUR published active-contract prices and their four trigger distances are withdrawn; and CO2 and COA then diverged \$2.17 on the roll	\$9.36, \$9.41 and \$9.47 all bind at once. The scored rule stays on CO2. The \$2.17 is a delivery-month difference, not a market move
8	Diplomacy produced nothing and freight repriced the risk upward. No route coordinates, no fee schedule, no revenue-share text from either government; Oman's MFA published nothing on Hormuz on 28, 30 or 31 August; no readout of the Qatari PM's Tehran visit; no US statement on negotiations; Baltic week 35 has TD3C at WS623 and a VLCC round-trip TCE just over \$647,000/day, from WS570 and ~\$585,000	\$9.23 discipline applied: each negative names the page checked and the date range. The freight market is pricing MORE chokepoint risk, not less, even as transit counts rise

5 · SCENARIO MAP

Scenario	Prob.	Content	Shift and why
Deal collapse on terms	42%	The corridor framework exists on paper and dies over geometry, fees and sovereignty; the blockade and the counter-blockade both continue	–1, twelfth edition as the modal case. Still modal, but the weekend's violence makes the 'collapse' less distinguishable from the next line
Return to full war	21%	Sustained US or Israeli strike campaign inside Iran with Iranian reprisals against US bases and Gulf infrastructure	+4 — the FIRST RISE after four consecutive cuts. Driven by the CORROBORATED events only: a US strike inside Iran ending a 32-day pause, and CENTCOM stating on the record that mines were being prepared for the Strait. The Jordan claim carries NO weight here (\$9.11)
Contained but violent	24%	The present state persists: blockade, counter-blockade, periodic strikes on shipping, no reopening and no general war	–1. Mass moves to the full-war line; this remains the second-largest cell and the one the 29 Aug tanker strike best describes
Regional relapse	9%	The war widens to Gulf states directly — UAE, Saudi or Qatari territory or infrastructure struck	Unchanged, deliberately. Jordan is not in this scenario's stated population — it names Gulf states — so the 31 Aug claim does not bear on this line either way, and no Gulf-state event occurred in the window
Mediated pause	4%	A verified stand-down, resumed talks and a reopening on published terms	–2, a second consecutive cut and the lowest reading of the war. Leavitt unretracted, no Omani text, no coordinates, no readout — and the shooting restarted

Sums to 100. Deal collapse and full war together carry 63%, UP from 60% and reversing two consecutive falls; the 21 August high was 67%. (!) The full-war rise is driven by the corroborated events only — the Larak strike and CENTCOM's own re-mining statement — and the uncorroborated Jordan claim is EXCLUDED from it. If that attack is confirmed by a US or Jordanian source the line moves again; if it is not, this reading is already at the top of its range.

6 · WATCHLIST · NEXT 24–72 HOURS

#	Watch item	Why it matters
1	Whether any US, Pentagon, CENTCOM or Jordanian source confirms the 31 August attack on King Hussein and Al-Azraq, and whether Washington answers it	The single largest unresolved fact in the edition. A confirmed Iranian strike on bases in a third country moves the full-war line again; a denial or silence caps it
2	Whether JMIC Update 091 or later lands, and what the mine language says AFTER both the Cooper declaration and the Larak strike	The only way to test whether 'mine danger areas still active' survives 28 August. (!) UKMTO's product listings are JS-rendered and returned nothing to direct fetch, so a further miss is not evidence of absence
3	Whether Threshold B holds a second close. It cleared by 0.56 bp on 28 August and the 31 August intraday is short by 0.17	A lapse on the next close would be the SIXTH of the regime and the first one-session round trip of an ARMING, and would confirm that 5.20% and 4.65% are the middle of the distribution, not its edge
4	Whether 5y5y closes below 2.30% a second consecutive session. Both prior breaks — 13 and 25 August — were retraced inside one session	A sustained break would leave the US-inflation channel scored at 5 by a trigger that no longer holds, with the documented downgrade 15.44 bp lower (\$9.16, \$9.26)
5	The 1 September GDPNow and EIA retail prints, the 2 September WPSR, and the 6 September OPEC+ meeting — all PROSPECTIVE at the cut	The WPSR is the next chance to test the SPR conflict: EIA's 289.7 mn bbl for the week to 21 August against DOE's 294.1 MMB as of 20 August. Both stand; neither is withdrawn
6	Whether the AIS-plus-dark transit count clears 25% of normal in VRA Overview No. 5, and whether the TSS records a single transit	Ten sessions above 25% is one limb of the maritime downgrade. The TSS number is the other: zero transits through the internationally recognised scheme is what 'not reopened' means operationally

\$7 SOURCE LOG, \$8 UPDATE PROTOCOL and \$9 METHODOLOGY are not printed in the edition. They are carried in full in the companion ANNEX for 31 August 2026, together with A1 (full tape commentary and the reconciliation), A2.3 (the full macro record) and A10 (anchor and trigger levels).